

2021 P T D 275

[Lahore High Court]

Before Jawad Hassan, J

OMER FLOUR MILLS

Versus

GOVERNMENT OF PUNJAB and others

Writ Petitions Nos.103100, 103105, 103108, 107276 and 107079 of 2017, heard on 16th November, 2020.

(a) Customs Act (IV of 1969)---

---S.131---Export Goods Declaration---Show-cause notice---Petitioners sought directions to the authorities to withdraw their letters which were correspondence between departments regarding double verification of Export Goods Declarations from Customs Authority and challenged a show-cause notice issued in the name of petitioners wherein the concerned authority required them to appear before the Director for defending their stance---Validity---Correspondence could culminate into an executable order only when it reached the final decision-making authority in the department, gets its approval and the final order is communicated to the person concerned---Show-cause notice was mere initiation of proceedings and not the proceedings in itself and constitutional petition was not maintainable against it unless the same was without jurisdiction or suffered from patent legal defect---Constitutional petitions were dismissed.

Muhammad Gulshan Khan v. Government of Pakistan and others 1996 PLC (C.S.) 102 ref.

Rehmatullah Khan through LR's v. Superintendent, Customs and others 2014 SCMR 1203 and Khalid Mahmood Ch. and others v. Government of the Punjab through Secretary, Livestock and Dairy Development 2002 SCMR 805 rel.

(b) Constitution of Pakistan---

---Art.199---Constitutional petition---Show-cause notice---Maintainability---Scope---Show-cause notice can only be impugned where the same is without jurisdiction and lawful authority, however, challenge to the show-cause notice cannot be made in constitutional petition on merits.

Zulfiqar Cheema v. Technical Education and Vocational Training Authority through Chairman and others 2011 PLC (C.S.) 914; Riffat Hassan and 9 others v. Federation of Pakistan through Chairman Federal Board of Revenue/Secretary Revenue Division and

another 2011 PLC (C.S.) 562; D.G. Khan Cement Company Limited v. Federal Board of Revenue and others 2018 PTD 287; Muhammad Aslam v. Federation of Pakistan and others 2017 PTD 803; Messrs Ocean Pakistan Ltd. v. Federal Board of Revenue, Islamabad and others 2012 PTD 1374; Messrs Noble (Pvt.) Ltd. through Manager Finance and Administration v. Federal Board of Revenue through Chairman and 4 others 2009 PTD 841 and Reliance Commodities (Private) Ltd. v. Federation of Pakistan and others 2020 PTD 1464 ref.

Mian Irfan Ahmed, Muhammad Bilal Akhtar and Sh. Muhammad Ali for Petitioner.

Ms. Sadia Malik, Assistant Attorney General for Respondent.

Barrister Umair Khan Niazi, Additional Advocate General, Barrister Hassan Khalid Ranjha, Assistant Advocate-General with Shoaib Anam and Muhammad Sharif Shahid, Assistant Accounts Officer of Respondent No.2/Director for Foods for Respondents.

Ijaz Mahmood Chaudhry, Legal Advisor for Customs Department.

Date of hearing: 16th November, 2020.

JUDGMENT

JAWAD HASSAN, J.---Through this single judgment, I intend to decide this petition filed under Article 199 of the Constitution of Islamic Republic of Pakistan, 1973 (the "Constitution") as well as connected Writ Petitions Nos.103105, 103108, 107276 and 107079 of 2017 as these are the outcome of same impugned orders and involved same question of law and facts. The Petitioners have also prayed for withdrawal of letters dated 19.07.2017 and 11.08.2017 issued by the Respondents and to close the proceedings initiated pursuant to the show cause notice dated 02.08.2017.

A. BRIEF FACTS

2. Transitory facts as per petition are that the Petitioners / Companies being Flour Mills entered into an agreement dated 29.12.2016 (the "Agreement") with the Respondents for sale/purchase of wheat for export pursuant to which, they exported wheat to Afghanistan in terms of Notification dated 01.08.2016 (the "Notification") but have not received payment so far. The Respondent No.2/Director, Directorate of Foods Punjab, Lahore on 19.07.2017 informed the State Bank of Pakistan to hold the amount to be paid to the Petitioners regarding the payment of subsidy on export of wheat. Pursuant to this letter, the Respondent No.2 issued show cause notices to the Petitioners by stating that their export and Good Declarations (the "G.Ds") have been found to be forged and fake. The Petitioners contacted the relevant Government Authority which finally informed the Respondent No.2 on 22.09.2017 that the export of wheat has been rechecked and as per record found these G.Ds clear and verified. But despite aforesaid facts, the payment has not been made to them.

B. PETITIONERS' SUBMISSIONS

3. Mian Irfan Ahmad, ASC/learned counsel for the Petitioners inter alia contended that the plain reading of the Notification reveals that the Government allowed to export wheat/wheat flour and as per Clause 3(b) of the Notification, the exporters will submit a letter of credit (the "LC") for 45 days plus Bank Guarantee equal to the amount of subsidy which will automatically be released on validation of export documents by the Provincial Government; that an Agreement was effected between the Secretary, Food Department, Government of Punjab and the Petitioners/Mills for export of wheat flour; that the Petitioners strictly followed and complied with all the pre-requisites of the agreements and provided all necessary documents as per Clause-IV of the Agreement; that the Petitioners submitted their relevant document, whereupon the bank guarantee was released but the subsidy has not been paid by the Government; that the Petitioners approached the relevant departments for payment of subsidy but they instead of resolving the matter, issued show-cause notices to them without any lawful authority on the ground that the G.Ds. were found fake and forged; that the Respondents issued impugned letters to the State Bank of Pakistan for stoppage of payment in respect of subsidy till the verification of the G.Ds without taking into consideration that they have already released their bank guarantee and as such the same has become past and closed transaction therefore, it is hit by principle of estoppel. Lastly averred that the show-cause notices have been issued by the Respondents which are without any jurisdiction, unlawful, void and without any provision of law. He relied on the judgment cited as "Muhammad Gulshan Khan v. Government of Pakistan and others" (1996 PLC (C.S.) 102).

C. RESPONDENTS SUBMISSIONS

4. The learned Law Officers unanimously submit that the writ petitions are not maintainable against show-cause notices when no action or act of the Respondents has been taken against the Petitioners and that the letters on the basis of which the Petitioners raised their voice are the internal correspondence between the Departments.

5. Barrister Umair Khan Niazi, Additional Advocate General submits that as per the policy decisions by the Federal/Provincial Governments, the Petitioners/Flour Mills entered into various agreements with the Punjab Food Department to purchase wheat/wheat products (flour, etc.) stocks for export on the subsidy @120 US Dollar per ton. Adds that \$70 per ton (out of \$120) was to be paid by the Federal Government and remaining part of subsidy i.e. \$50 as upfront payment through reduction in price by the Punjab Food Department at the time of lifting of wheat stocks against which bank guarantee/security was obtained which was to be released after successful and genuine export of wheat. Further adds that as per para 4(v) of the Agreement the Petitioners/Mills were bound to provide copies of G.Ds duly verified by the Customs Authorities. Ms. Sadia Malik, Assistant Attorney General specifically submits, that after completing export process the Petitioners/Mills provided G.Ds Certificates which were sent to Customs Authorities Quetta/Chaman and after verification, the bank guarantees/Security was released to the Petitioners/Mills. Next adds that vide letter dated 19.07.2017, the Directorate of Food Department informed the State Bank of Pakistan that owing to certain doubts with regard to verification of actual export, they have taken up the matter with Custom Authorities concerned for re-verification and requested that the payments claimed by the Petitioners may be held up till further intimation but the concerned

Collector(s) Customs informed that the verification letters provided by the Petitioners/Mills were not included in the valid lists, therefore, the same were sent for re-verification but unfortunately the concerned Customs Authorities states that the G.Ds provided by the Petitioners/Mills were found forged and fake. They further argued that the Petitioners did not come to the Court with clean hands as they filed fake/forged G.Ds and committed fraud, therefore, they are not entitled for any relief. Hence, the Petitions are liable to be dismissed.

6. I have heard the arguments of counsel for the parties and perused the record.

D. DETERMINATION BY THE COURT

7. The prayer made by the Petitioners reveals that they have sought directions to the Respondents to withdraw their letters dated 19.07.2017 and 11.08.2017. Perusal of aforesaid letters reveals that it is the correspondence between the Deputy Director (B&A), Directorate of Food, Punjab and Assistant Director, State Bank of Pakistan, Banking Service Corporation (Bank), Foreign Exchange Operation Department, Subsidy House Head Office, I.I. Chundrigarh Road, Karachi regarding double verification of G.Ds from Custom Authority. It is noted that above referred letters are mere the correspondence between the Respondent No.2 and the Respondent No.5. The correspondence may culminate into an executable order only when it reaches the final decision-making authority in the department, gets his approval and the final order is communicated to the person concerned. The Hon'ble Supreme Court of Pakistan in "Rehmatullah Khan through LRs v. Superintendent, Customs and others" (2014 SCMR 1203) held that "counsel for plaintiffs referred to correspondence between an official of customs and revenue authority, but such correspondence was of no help to the plaintiff s, being internal to the department through which, the customs official solicited advice and approval of higher authorities". Furthermore, such correspondence is not meant for outside exposure and the Petitioners have not pointed out how they got such letters which, even otherwise, are not issued in their names as such the Petitioners have no locus-standi to challenge the said letters.

8. The Petitioners have also challenged a show-cause notice dated 02.08.2017 issued in the name of the Petitioners wherein the Deputy Director (B&A), Directorate of Food, Punjab only required them to appear before the Director Food Punjab for defending their stance. However, they instead of replying to the show cause notice or appearing before the aforesaid Respondents, filed this petition. It is an established principle that show cause notice is mere initiation of proceedings and not the proceedings in itself and no Constitutional petition is maintainable against it unless the same is without jurisdiction or suffers from patent legal defect. In "Khalid Mahmood Ch. and others v. Government of the Punjab through Secretary, Livestock and Dairy Development" (2002 SCMR 805) the Hon'ble Supreme Court of Pakistan held that "where disputed show-cause notice was still at preliminary stage as after considering the replies if the competent authority comes to the conclusion that it was a case of taking further proceedings only then the proceedings shall commence, therefore, Constitutional petition was pre-mature and ought to be dismissed". Furthermore, a show-cause notice can only be impugned where the same is without jurisdiction and lawful authority, however, no challenge to the show-cause notice can be made in Constitutional petition on merits. In this behalf reliance is placed on the case titled "Zulfiqar Cheema v.

Technical Education and Vocational Training Authority through Chairman and others" (2011 PLC (C.S.) 914) and "Riffat Hassan and 9 others v. Federation of Pakistan through Chairman Federal Board of Revenue/Secretary Revenue Division and another" (2011 PLC (C.S.) 562). Reliance is also placed on "D.G. Khan Cement Company Limited v. Federal Board of Revenue and others" (2018 PTD 287), "Muhammad Aslam v. Federation of Pakistan and others" (2017 PTD 803), "Messrs Ocean Pakistan Ltd. v. Federal Board of Revenue, Islamabad and others" (2012 PTD 1374), and "Messrs Noble (Pvt.) Ltd. through Manager Finance and Administration v. Federal Board of Revenue through Chairman and 4 others" (2009 PTD 841). Recently, this Court in "Reliance Commodities (Private) Ltd. v. Federation of Pakistan and others" (2020 PTD 1464) has held that mere show cause notice was not an "adverse order" and the High Court in exercise of its constitutional jurisdiction could take up writs to challenge a show-cause notice if it was found that the show-cause notice was totally non est i.e. suffered from want of jurisdiction of the issuing authority or had been issued malafidely i.e. merely to harass the subject. In the case in hand, there is nothing on record to show that there is any jurisdictional error in the issuance of show-cause notice which calls for interference by this Court in writ jurisdiction.

10. For the foregoing reasons, these petitions are without merit and are accordingly dismissed.

SA/O-2/L

Petitions dismissed.